RRSP and FHSA at More Than One Institution: the Rules

Contribution room, deadlines, deductions, the 15-year limit, the Home Buyers' Plan and US dividends, in plain English · 2026

Your FHSA room and your RRSP deduction limit belong to you as a person. Every FHSA you own shares one FHSA room, and every RRSP you own shares one RRSP limit, no matter how many banks or brokerages you use. Each institution only sees its own account, so nobody warns you when the total goes over. These are the rules that matter, and how the tracker handles each one.

1. WHO CAN OPEN AN FHSA

- **A Canadian resident**, at least 18 (the age of majority in your province) and not older than 71 on December 31 of the year you open it.
- **A first-time home buyer:** at no time this year or in the 4 calendar years before did you live in a home that you, or your spouse or common-law partner, owned.
- **You can have more than one FHSA**, at different institutions. They all share one room.

2. FHSA CONTRIBUTION ROOM

Rule	What it means	In the tracker
$8,000 a year	The annual limit. It is not indexed to inflation.	Settings B23.
$40,000 for life	Per person, across all your FHSAs.	Settings B25 and B26; "Lifetime room left".
Carry-forward: $8,000 at most	Unused room from last year is added to this year's, but only up to $8,000. Your participation room for a year is therefore at most $16,000.	Settings B24; "Room next year".
Room starts when you open one	Nothing builds up before you open your first FHSA. Opening one early, even with $0, starts the room and the carry-forward.	Settings B27.
Deadline: December 31	There is no 60-day window like the RRSP. A January contribution uses the new year's room.	Status line on the FHSA room block.
One room for all your FHSAs	Contributions at every institution, plus transfers in from your RRSP, are added together.	FHSA room block, both dashboards.

Example. You open an FHSA in 2025 and put in $5,000. In 2026 your participation room is $8,000 + $3,000 carried forward = $11,000. You contribute $6,000 at Wealthsimple and $3,000 at Questrade: $2,000 left. In 2027 your room is $8,000 + $2,000 = $10,000, and your lifetime room left is $40,000 – $14,000 = $26,000.

3. FHSA DEDUCTIONS, WITHDRAWALS AND OVER-CONTRIBUTIONS

Rule	What it means	In the tracker
Contributions are deductible	Claim them on Line 20805 (Schedule 15). You can carry the deduction forward to a year when your income is higher.	"FHSA deduction this year".
Qualifying withdrawal: tax-free	For your first home: a written agreement to buy or build it before October 1 of next year, and you plan to live in it within one year.	Type "Qualifying Withdrawal".
Other withdrawals are taxed	Added to your income. No FHSA withdrawal ever gives room back.	Type "Withdrawal".
Over-contribution: 1% per month	On the highest excess each month, with NO $2,000 buffer. Remove it with a designated withdrawal or a transfer to your RRSP.	Red alert.
US dividends lose 15%	The Canada-US treaty exemption covers RRSPs, not FHSAs.	Dividend Tracker estimate.

4. THE FHSA 15-YEAR LIMIT

Your FHSA must be closed by December 31 of the **earliest** of: the year of the 15th anniversary of opening your first FHSA, the year you turn 71, or the year after your first qualifying withdrawal. The tracker shows this year on Settings B29 and on the Main Dashboard, with the years you have left.

- **Not buying?** Transfer what is left directly to your RRSP or RRIF. It is tax-free, uses NO RRSP room and does not reduce your RRSP deduction limit. Your FHSA deductions stay.
- **Moving money from your RRSP to your FHSA** is allowed too. It uses FHSA room, is not deductible again and does not give RRSP room back.

5. RRSP CONTRIBUTION ROOM

Rule	What it means	In the tracker
New room: 18% of earned income	18% of last year's earned income, up to $33,810 for 2026 ($35,390 for 2027), minus any pension adjustment from a workplace plan.	—
Your limit is on your NOA	The "RRSP deduction limit" on your Notice of Assessment already includes unused room carried forward. Do not add carry-forward again.	Settings B32.
Unused contributions	Contributions you made but have not deducted yet (also on the NOA) already use room.	Settings B33; B34 = B32 – B33.
Deadline: first 60 days of next year	Contributions made by March 1, 2027 can be deducted on your 2026 return (Line 20800).	Room window March 2 → March 1.
$2,000 lifetime buffer	Up to $2,000 over your limit in total, for life, without penalty. Above it: 1% per month (Form T1-OVP).	Settings B35; amber or red message.
Withdrawals are taxed	Added to your income (Line 12900), with 10% / 20% / 30% withheld at source, and the room never comes back.	Withdrawals line.
Age 71	Your RRSPs must become a RRIF or an annuity by December 31 of the year you turn 71.	Settings B9.

6. THE HOME BUYERS' PLAN (HBP)

Rule	What it means	In the tracker
Up to $60,000 tax-free	From your RRSPs, for a first-time buyer (same 4-year rule as the FHSA), with a written agreement to buy or build the home.	Settings B36; "HBP you can still take".
Use it WITH your FHSA	Since 2023 you can make a qualifying FHSA withdrawal and an HBP withdrawal for the same home.	Tax-free down payment = FHSA + HBP.
Repay over 15 years	Starting the 2nd year after the withdrawal (the 5th year for withdrawals made from 2022 to 2025). Designate each repayment on Schedule 7.	"HBP balance" and yearly repayment.
Missed repayment	The amount you should have repaid is added to your income that year.	Year-end checklist.
The 90-day rule	RRSP contributions withdrawn under the HBP within 90 days are not deductible.	—

Couples. Each spouse has their own FHSA and HBP. Together a couple can put up to $200,000 toward their first home tax-free ($40,000 FHSA + $60,000 HBP each), plus investment growth inside the FHSAs.

7. US DIVIDENDS

Holding	In an FHSA	In an RRSP
US-listed stock or ETF (KO, VOO, SCHD)	15% withheld by the IRS, cannot be recovered	0% withheld (treaty exemption)
Canadian-listed ETF of US stocks (VFV, XUS)	15% lost inside the fund	15% lost inside the fund
Canadian stock or ETF	No withholding	No withholding

8. MOVING MONEY BETWEEN INSTITUTIONS

- **Always ask for a direct transfer.** FHSA to FHSA or RRSP to RRSP is not taxed and does not touch your room.
- **Withdraw and re-deposit is not a transfer.** FHSA: room never comes back. RRSP: a taxable withdrawal and a new contribution.
- **Contributing shares in kind** from a non-registered account counts as selling them: a gain is taxable, a loss is denied.
- **FHSA first, HBP second.** FHSA money never has to be paid back; HBP money does.

For educational purposes only. Not financial or tax advice. Rules summarized for 2026 from canada.ca (First Home Savings Account; RRSPs and related plans; Home Buyers' Plan). Always confirm your own room in CRA My Account and on your Notice of Assessment. Questions: hello@maplesheet.ca